K2 and SantanaQAT: how far is 3-bit LLM quantization from the rate–distortion bound?

A measurement study, and why the last points are unavailable

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Abstract

We ask a narrow, falsifiable question: can a ∼3.3 bit-per-weight (bpw) trellis codec be made *near-lossless* — retaining ≥ 96.5% of the full-precision (F16) model's item-level benchmark performance — by better mathematics or better training, on consumer hardware? We answer it with measurements rather than projections, using a QTIP/EXL3-class trellis-coded quantizer (K2) on Qwen2.5-1.5B (28 layers, 1.54B deployed parameters) running on a single RTX 3060 with 12 GB of VRAM, and we cross-check the decisive scale point on Qwen2.5-3B.

Three findings organise the answer. **(i) The ceiling is arithmetic, not algorithmic.** At rates of 3, 4, 5 and 6 bits per weight ($K = 3, 4, 5, 6$) the coder sits 1.23–1.32× above the Shannon rate–distortion function — the signature of a fixed implementation loss. Making the coder exactly Shannon-optimal would be worth ≈ +5 retention points, not the 17 the bar demands; the bar requires an effective weight error 3.8× *below* the bound at 3.34 bpw, which no coder can reach. **(ii) The source offers no structure to exploit.** Post-rotation weights are white (kurtosis 3.07; spectral AM/GM 1.13–1.24; quantization residual AM/GM 1.22–1.38), so learned rotations, low-rank or sparse side-channels and compressed-sensing decompositions buy 1.00–1.11×; an activation-side anisotropy gain of 1.47× *in sample* collapses out of sample: 0.90–1.27× for gate/up and 0.55–1.02× for q/k/v against the diagonal baseline against the per-channel scales we already ship. **(iii) The codec column is closed by identification.** The trellis is numerically the D_8 lattice (0.02723 vs 0.02735 in normalised distortion); E_8 is measurably better (1.22× in error at entropy-matched rate, exact projection; 1.03–1.10× once a 2^{8R}-point container is imposed), but every lattice is bounded below by $G(\Lambda)\,2\pi e = 1.221\times$ and E_8 sits on that floor, so E_8 captures the entire lattice headroom — which at a fixed rate and our operating point is worth ≤ 0.1 bpw, not the +0.29 bpw that entropy-matched rate would suggest. Entropy coding of the stored stream is exactly 1.000× (the transition symbols are uniform, $H = K$ to three decimals).

Training does not escape this. **SantanaQAT** — our scales-only QAT — buys +6.1 points (73.6% → 79.7%, McNemar $p = 0.004$) — for 0.77M tokens and 605 s on one consumer card, 1.4×10^4 fewer tokens than a published 10.5B-token recipe — and then saturates: it drives perplexity *below* F16 (10.2886 vs 10.3099) while coding retention stays at 79.7%, so the extra perplexity is calibration overfit, not capability. Training the latents is significantly *worse* on HellaSwag (27 lost vs 12 gained, exact $p = 0.0237$), and end-to-end or wider joint windows are monotonically worse than the block-wise fixed point. We give the mechanism: at $K = 3$ only 0.03% of trellis words flip under gradient training, because the AdamW random walk is ∼2% of a Voronoi cell radius; trellis codes move 0% or ∼100% of their symbols between adjacent perturbation scales, so there is no sparse-nudge regime.

The residual damage is additive and unlocalisable: eight "only-X" substitution arms sum to 100.4% of the whole, the best single-tensor recovery is 34%, and the failures are thin-margin flips (KL 0.028 nats with 74.9% top-1 agreement on code versus 93.4% on prose

*Independent research. Artifacts, logs and per-item result files are available from the author. This is a technical report; it has not been peer reviewed.

— which also explains why a multiple-choice axis degrades less than free-form coding at the same perturbation). What does move the number is *rate* and *scale*: 5.00 bpw reaches 97.6% [94.8, 99.1] coding but 93.6% [91.5, 95.3] HellaSwag — an established miss — while 6.00 bpw clears both point estimates (98.4%/97.0%) at 8.49 bpw on disk; and +5.1 points per parameter doubling (measured 1.5B→3B).

We also report a methodological finding that changes published verdicts: retention can be defined conditionally on the items F16 solves ("strict") or as a ratio of raw accuracies ("loose"), and mixing the two on different axes fabricates a pass. On our data the same artifact passes or fails the bar depending only on this choice, so we report strict on both axes with Clopper–Pearson intervals and on-disk bpw throughout, and we set out the threats to validity we found in our own harness — including a first-token multiple-choice probe, a feedback retry, and an in-loop evaluation that reported 3% better than truth.

1 Introduction

Extreme low-bit weight quantization has produced a stream of claims of the form "2–3 bits with almost no loss". Those claims are usually stated on *averaged* benchmark scores relative to a full-precision reference. A practitioner deploying a model asks a different question: of the inputs the full-precision model gets right, how many does the quantized model still get right? This is a conditional, item-level retention rate, and it is systematically harsher than a ratio of averages, because a quantized model also *gains* items the reference fails (Section 2).

This paper reports a campaign that took the harsh question seriously for a ∼3.3 bpw trellis codec, on hardware a hobbyist owns, and tried every route we could identify to reach a 96.5% item-level bar at that rate. The campaign is unusual in that its most useful outputs are *negative*: four columns (codec, transform, allocation/localisation, training) each closed by a measurement with a number attached, and one live lever (scale). We report the arithmetic that explains why, and the identifications that make the closure non-obvious: the format we built is numerically the D_8 lattice, E_8 is better but bounded, and the entropy of the stored stream is exactly its rate.

Contributions.

1. **A rate–distortion accounting of the bar** (Sec. 3): the measured offset (1.23–1.32×) at four measured rates; perfect coding = +5 points; the bar sits 3.8× below the bound; the bar is a ∼5.2–6.0 bpw claim in this format, confirmed independently by measurement (5.00 bpw → 97.6%).
2. **A white-source proof by measurement** (Sec. 4): kurtosis, spectral AM/GM, residual AM/GM, water-filling gains with a sampling-null control, and an out-of-sample anisotropy test that kills the in-sample 1.47× gain.
3. **Codec identification and a lattice ceiling** (Sec. 5): the trellis is D_8 to three digits; E_8 gives 1.22× with a verified exact encoder; every lattice is bounded by $G\,2\pi e = 1.221\times$; entropy coding is 1.000×.
4. **Training saturation with a mechanism** (Sec. 6): scales-only QAT +6.1 points and no more; latent training significantly worse; end-to-end and joint windows monotonically worse; QAD structurally blocked by Voronoi geometry (0.03% word flips).
5. **An unlocalisable residue** (Sec. 7): additivity (100.4%), best single-type recovery 34%, thin-margin flips, and the prose/code top-1 split that explains the metric asymmetry.
6. **An efficiency account of the training** (Sec. 6, Table 3): SantanaQAT, our scales-only QAT, trains 0.09% of the parameters (per-channel scales, frozen codes), uses 0.77M tokens and 605 s on one 12 GB consumer card — 1.4×10^4 fewer tokens than a published 10.5B-token

3–4-bit recipe — and the more expensive block-wise and end-to-end variants we tried did not improve on it.

7. **A normalisation warning with a worked example** (Sec. 2) and a threats-to-validity list from our own harness (Sec. 10).

What this paper is not. It is not a new method with state-of-the-art numbers. The format is an EXL3/QTIP-class trellis; the training is SantanaQAT, a scales-only QAT. The contribution is measurement, identification and closure.

2 Setup

Model and hardware. Qwen2.5-1.5B (28 layers, hidden 1536, FFN 8960, vocabulary 151936, tied embeddings; 1.310B body parameters, 1.543B deployed) is the development vehicle; a Qwen2.5-3B point tests scale. All measurements are on one RTX 3060 (12 GB) with 31 GB of host RAM.

The K2 format. K2 is a trellis-coded quantizer in the EXL3 tradition. Each linear weight is rotated by a fixed block-diagonal 128×128 Walsh–Hadamard transform on both sides, folded with per-input and per-output channel scales (s_u, s_v), and quantized as 16×16 tiles. Each tile of 256 weights is coded as one tail-biting bitshift-trellis sequence (state $L = 16$, K bits per step, $V = 1$) with a procedural codebook (`mul1`, an LCG-based pseudorandom permutation of 2^K levels decoded in 2–4 ALU ops). Storage is an I_{16} 3-D tensor of $16K$ words per tile plus two half-precision side vectors per tensor; there is no per-block scale. The payload is therefore exactly K bits per weight, and the side vectors add 0.007–0.036 bpw per matrix ($\approx$ 0.01–0.02 on average at $K = 3$). Mixed K per tensor is free (read from the payload shape). An optional trellis-coded embedding (K2E) replaces the F16 embedding.

Rate accounting. We distinguish *body rate* K (bits per quantized weight of the transformer blocks), *body rate with scales* $K + 1/16$ (the per-tile F16 scale, 1/16 bit/weight), and *on-disk bpw* (file size over all parameters). The distinction matters: a "3.34 bpw" artifact is 6.22 bpw on disk because the F16 embedding is 39% of the file, and the artifact that clears the bar at 5.00 body bpw is a 7.64 bpw file (Table 5).

Benchmarks. Coding is MBPP-style executable Python: 427 items, 3-shot, greedy decode ($T = 0$, `top_k`=1, stop at `[DONE]` or a triple newline, 320 generated tokens), one feedback retry, extraction of the first top-level `def`/`import`/`class`, and execution of the item's assertions in a fresh subprocess (10 s timeout, pass iff exit code 0); the first three items serve as few-shot and are excluded, leaving 424. All arms are served by `llama-server` from the K2 runtime with a 4096-token context, and no request ever hit that limit (maximum observed 1554 tokens, zero truncations), with the K2 and F16 GGUFs sharing one tokenizer. HellaSwag is scored as a 4-way multiple-choice first-token letter log-probability on $n = 1200$ items ($n = 2000$ for the two top arms), with a one-token greedy fallback when no letter lands in the top 8. ARC-Easy ($n = 200$) and a 98-item hand-written probe set are secondary. Perplexity is 20 chunks of $\times 512$ tokens on wikitext-2 test with llama.cpp; *perplexities are comparable only within one protocol* (the same F16 model reads 10.3099 in the llama.cpp protocol, 12.5129 in an HF 512-block protocol and 17.13 on a different corpus), a trap that cost us one false result.

Two implementation defects we report rather than hide. (i) HellaSwag items are keyed by their context prefix for pairing, so 1200 items collapse to 1184 unique keys (2000 $\rightarrow$ 1971); we recomputed every HS retention on the collapsed keying and the values shift by < 0.15

points (strict 87.33% and 93.59% rather than 87.44% and 93.65%), so we quote the published values and state the denominators. (ii) Eight of the 200 ARC items place no choice letter in the top-8 and fall back to one-token generation; those eight are answered wrongly by *every* arm, including F16, so ARC carries a constant $\approx$ 4-point penalty that cancels in retention but depresses absolute values.

Retention definitions. For an axis with reference accuracy a_{ref} and arm accuracy a: *loose* retention is a/a_{ref}; *strict* retention is the fraction of the items the reference solves that the arm also solves. Strict is $\leq$ loose by construction (the arm can gain reference-failed items). On coding the reference solves 246 of 424 evaluated items (58.0%, with the feedback retry); on HellaSwag it solves 679 of 1200 valid items (673 after the collapse rule used in the battery table).

The choice is not cosmetic. Table 1 recomputes three arms from the same stored per-item records under three defensible normalisations. The sentence "the bar is met at 5.00 bpw" is true under exactly one of them. We therefore use **strict on both axes**, report Clopper–Pearson 95% intervals, pair differences with exact McNemar tests on identical items, and state on-disk bpw beside every body rate.

Why "3-bit is near full precision" and our bar can both be true. The two statements look contradictory only because a mean over heterogeneous tasks hides which items break. We report per item instead, and we had to retract one axis to do it honestly. A first version of this paragraph claimed the 3.34 bpw arm scored *higher* than F16 on average (0.660 against 0.609 over ARC, GSM8K, HellaSwag and the probes), attributing the inversion to GSM8K, where F16 read 0.150 and quantized arms 2–3$\times$ higher. That number was a *scorer* artifact, and it took retained generations to see it. The original runs never kept them (`-dump` was not passed, so every `text` field in the stored files is empty — an absence we first, and wrongly, read as evidence that no arm emits the `####` marker). With the generations retained, *both* arms do emit the marker (F16 200/200, PTQ 195/200), but neither emits the `<|im_end|>` stop token, so both continue to the 320-token cap and degenerate: F16 drifts into unrelated text while the quantized arm loops on its own answer (17.5 markers per answer against 3.0). Scoring the *last* marker therefore scores the garbage tail — 0.150 for F16 and 0.385 for PTQ — while scoring the *first* complete answer gives F16 100/200, PTQ 91/200 and the scaled-QAT arm 104/200: a 91.0% retention for PTQ and 104% (a four-item tie) for the deployed arm, i.e. the expected direction or better. The axis was mis-scored, not degenerate. Corrected, the mean does not invert either: over ARC, GSM8K, HellaSwag and the probes the 3.34 bpw arm averages 0.690 against F16's 0.697 — effectively a tie on the mean, which is exactly the point: a mean hides that coding loses 20 points and HellaSwag 10, offset by probes (+5) and GSM8K (+2). Nothing here is contradictory: "near full precision" is a claim about a mean, ours is a claim about the minimum over items. Three further differences separate us from the published 3-bit results: our rate is a *body* rate whose file is 6.22 bpw on a model where embedding and head are 30% of the parameters, whereas on a 7B the same nominal rate is $\approx$ 3.5–4 bpw on disk; those results are on 7B–70B models, where our measured slope (loss $\approx 1.23\times$ error at 1.5B, already $\sim$ 20% flatter at 3B) makes the bar reachable at a lower rate; and their training budgets are $10^4\times$ ours. Our impossibility statement is therefore scoped to what we measured: 1.5–3B models, item-level, conditional on the reference's solved set.

3 The ceiling is rate–distortion arithmetic

Measured error against the bound. We measure the deployed effective-weight relative Frobenius error by pushing the identity through the exact deployed operator (rotations folded, scales applied, trellis decoded) — comparing raw decoded trellis values instead gives a bogus

Table 1: The same per-item data under three normalisations (1.5B; bar = 96.5% on every cell). Only the loose/loose reading passes at 5.00 bpw. We report the middle row.

arm	coding strict	coding loose	HS loose	HS strict	HS chance-corrected
3.34 QAT	**79.7**	90.7	95.4	**87.3**	91.7
5.00	**97.6**	101.6	97.8	**93.6**	96.0
6.00	**98.4**	101.6	98.9	**97.0**	98.0

Table 2: Measured effective weight error vs the rate–distortion bound, each K measured at its own rate (per-tensor values, parameter-weighted, from the deployed pack). The ratio is 1.23–1.32× **at every rate** — a fixed implementation loss, not a rate-dependent defect. Aggregated instead, the pack that averages 3.34 bpw carries a model-level error of 0.134, i.e. 1.36× the bound at that rate: the same story, averaged. Retention is strict coding (the 3.34 row is the QAT arm, whose pack mixes $K = 3/4/5$).

K	body bpw	bound 2^{-R}	measured err	ratio	dB	retention
3	3.00	0.1250	0.1653	1.32×	2.4	79.7% (pack avg)
4	4.00	0.0625	0.0771	1.23×	1.8	90.2%
5	5.00	0.0313	0.0405	1.30×	2.3	97.6%
6	6.00	0.0156	0.0200	1.28×	2.1	98.4%

$\sqrt{2}$ inflation. Table 2 sets this against the Shannon bound $D = \sigma^2 2^{-2R}$ for a unit-variance white source, at the body rate including the per-tile scale.

The loss curve. Over the same arms, retention loss is almost exactly linear in effective error for err ≥ 0.08: loss $\approx$ (1.22–1.30) $\times$ err (1.60 at the PTQ point, where the scale fit is still untrained). Below that, the ratio collapses (0.60, 0.80) and the loss saturates at a floor of $\approx 1.6\%$ — the item-level noise floor of the metric: we measure 98.4% at 6 bpw and never 100%.

Three consequences.

1. **Perfect coding is worth $\approx +5$ points.** Replacing the $K = 3$ error by the bound at 3 bpw (0.125 instead of 0.165) and using the measured slope gives $\approx 85\%$ — not the 96.5% the bar needs.
2. **The bar is below the bound.** 96.5% requires err ≤ 0.026; at 3.34 bpw the bound itself is 0.0988, so the bar is 3.8× *below* the rate–distortion limit. No coder, at any level of sophistication, reaches it on this source.
3. **The bar is a rate claim.** Inverting the bound, err = 0.026 corresponds to 5.27 bpw for a perfect coder and 5.5–6.0 bpw with our offset. We measured 5.00 bpw $\rightarrow$ 97.6% coding independently: theory and measurement agree, so the model is self-consistent rather than a curve fit to one point.

Sensitivity. Even granting QAT the best slope we have ever observed ($k = 0.60$), the $K = 3$ arm would reach 90.1% — still 6.4 points short. Both the error *and* the slope would have to improve beyond anything measured.

4 The source has no exploitable structure

The accounting above presumes the scalar bound applies. That is only true if the source is white, so we tested it directly rather than assuming it.

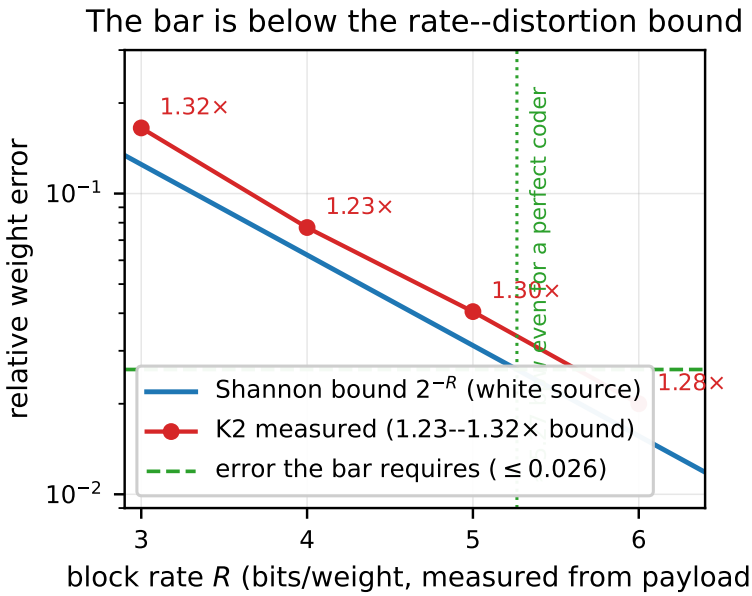


Figure 1: The ceiling, measured. Red: the deployed coder's effective weight error at four body rates. Blue: the Shannon bound for a white source. The gap is a constant 1.23–1.32×, so the coder has a fixed implementation loss, not a rate-dependent defect. Green: the error the 96.5% bar requires (≤ 0.026) lies *below* the bound at 3.06 bpw; even a perfect coder would need ≈ 5.27 bpw to reach it. Measured 5.00 bpw retention (97.6%) confirms the inversion independently.

Weight spectra. Using the exact Gram matrix of the smaller dimension (no randomised SVD denominator artefacts), the spectral AM/GM — the exact high-rate distortion gain any KLT plus reverse water-filling would deliver — is 1.24 (gate), 1.21 (down), 1.13 (up) and 4.74 (q_proj). Top-64 energy is 8–29%. At our actual rate of 3.34 bpw the water-filling gain is 1.06–1.11× on the FFN tensors, which carry ∼80% of the parameters, and 2.10× on q_proj, which is 4.3% of parameters — a 1.7% improvement in total model error even with a perfect KLT on it.

Residuals. The quantization residual is as white as the source (AM/GM 1.22–1.38), so a rank-r side-channel or a sparse correction (Robust PCA, compressed sensing, "low-rank plus sparse") has nothing to capture.

Activation side. Weights are white but inputs are not: the metric only sees weights through input directions, $\mathbb{E}\|\Delta W x\|^2 = \mathrm{tr}(\Delta W\, \Sigma\, \Delta W^\top)$. An unbiased ±1 sketch estimator (validated on known-answer synthetics: dense rank-1 452 vs theory 512; rank-8 150 vs 192; rank-32 44 vs 48; axis-aligned outliers correctly ignored) finds strong structure: off-diagonal energy ratio R_{off} up to 59 for o_proj (effective dimension ∼26 of 1536), 2.2–8.1 for gate/up, 1.4–4.1 for q/k/v, and 1.0–17.8 for down (median 2.08 against a sampling null of 3.19). In sample, water-filling on that covariance promises 1.47× total.

The out-of-sample verdict. Fitting Σ on 24 sequences and evaluating the distortion on 24 *disjoint* sequences in the fit basis, the gain over *no* allocation is 0.89–2.28×, but the gain over the **diagonal** baseline — which is exactly what our per-channel s_u, s_v scales already implement — is 0.90–1.27× for gate/up (median 0.93) and 0.55–1.02× for q/k/v (median 0.96) — no gain, more emphatically than we first wrote. The in-sample 1.47× was diagonal heterogeneity (already captured) plus covariance overfitting; a null control on isotropic Gaussian data at the same d/N shows the estimator alone reports a spurious 1.03×. **The anisotropy door is closed by measurement**, and it was never worth much on the target architecture anyway: attention

is 0.9% of parameters in a 35B-A3B MoE against 10% at 1.5B, so the measured head→FFN reallocation (1.19× at 1.5B) moves ∼1% of the budget = 0.03 bpw there.

5 What the codec actually is

Because the source is white, the only remaining question about the coder is how far its *construction* is from optimal. Four measurements answer it.

Dimension ladder, and why learning a codebook does not help. At $R = 3$ bits a reference vector quantizer achieves normalised distortion 0.0356 ($d = 1$), 0.0304 ($d = 2$), 0.0267 ($d = 3$), and our trellis achieves 0.0272: it is a **3–4-dimensional VQ in quality**, at a 1-D coding cost of about 2.3×. Extending the ladder to $d = 4$ and measuring it *held out* — codebook fitted on 80% of the samples, distortion measured on the disjoint 20% — a learned codebook reaches 0.0287 at 3.0 bpw and 0.0214 at 3.25 bpw, against the trellis's 0.0273 and ≈ 0.0186. So the trellis is 1.05–1.15× *better* than a codebook we could actually train at equal rate, and the ladder saturates by $d \approx 4$; a learned VQ is therefore not a quality upgrade at our operating point, only a trainability one.

Identification with D_8. Evaluating the D_8 lattice (the integer lattice with an even-sum constraint) on the same coded source gives 0.02735 against the trellis's 0.02723. **To three digits they are the same coder.** K2 therefore ships D_8-class quantization, and its 1.90× gap to the bound *in distortion* decomposes as $D_8 \to E_8$ (1.49×, measured) times $E_8 \to$ bound (1.28×).

E_8, measured and verified. We implemented the exact Conway–Sloane E_8 projection (nearest point via the D_8 candidate plus the half-integer coset) and verified it 12/12 against brute force over 5.76M lattice points. At $R = 3.06$ it gives $D/\sigma^2 = 0.0183$ (err = 0.135) versus our 0.0272 (0.165): 1.22× in error, constant across $R = 1.05$–3.56. **That figure is at entropy-matched rate with an unbounded alphabet, and a real container cannot hold it.** Constraining the codebook to 2^{8R} points — the ball a fixed-rate index can address — costs a factor 1.03 at $R = 2$, 1.29 at $R = 3.06$ and 2.17 at $R = 4$, because the support of the codebook is pinned to the source's typical set while granularity keeps shrinking. Decomposed at our operating rate, the 1.49× distortion gap is 1.070 (the $D_8 \to E_8$ shape, which is the lattice) × 1.39 (alphabet and support), so the *collectable* gain at 3–3.4 bpw is 1.03–1.10× in distortion, not 1.22×. (As a sanity check on the implementation, it also beats our 3-D VQ reference by 1.21×, consistent with the dimension ladder.) Its encoder is closed form — round, parity fix, two cosets — at roughly 50× the throughput of the 2.0M weights/s tile search.

The lattice floor, and what survives at fixed rate. For any lattice in the high-rate limit, $D\,2^{2R}/\sigma^2 = G(\Lambda)\,2\pi e$. With the sphere-bound normalised second moment $G = 1/(2\pi e)$ this gives a floor of 1.221× (0.87 dB) that no lattice escapes; E_8 is at 1.221 and Leech at 1.224, so E_8 is **at the lattice optimum**. But that bound assumes *entropy coding of an unbounded alphabet*, and it is not the binding constraint in a fixed-rate container: there the codebook can address only 2^{8R} points, its support stays pinned to the source's typical set while granularity shrinks, and the achievable factor at 3–3.4 bpw is 1.03–1.10×. The lattice column's ceiling at our operating point is therefore ≈ 1.10× in error; 1.25× is what an entropy-coded lattice could take, not what a fixed-rate file can.

Entropy coding is exactly worthless here. The stored quantity is the K-bit transition per weight. Measured over 4000 tiles, its marginal entropy is $H = 3.000$ bits at $K = 3$ and

$H = 4.000$ bits at $K = 4$ (first-order 3.999–4.000): the stream is exactly uniform, because the `mul1` codebook is a pseudorandom permutation of the levels. The K bits we store *are* the entropy of the representation, so entropy coding, ECSQ or RDOQ recover 1.000×.

Why a proper TCQ is not the answer either. Trellis codes need not tile, so a proper TCQ with a large alphabet, coset codebook and entropy coding can approach 0.3–0.5 dB from the bound. But its encoder is exponential in (states + alphabet): at 256 states and 16 levels that is a state-count ratio rather than a cost ratio: with the coset shortcut a 256-state TCQ needs 64–254× *fewer* add-compare-selects per weight than our 2^{16-K}-state window, and it requires entropy coding — which our measurement says the current codebook cannot supply.

Consequence in the units that decide things. Taken at face value E_8 is worth 1.22× in error, +3.8 coding points and thus +0.29 bpw — a 9% file. At a fixed rate the same arithmetic gives 1.03–1.10× in distortion at our operating point, i.e. of order +0.5–2 coding points and ≤ 0.1 bpw: real, but no longer a reason to build a new format at 3.3 bpw. Where it does pay is 2 bpw, which is exactly where the lattice literature has converged (E_8 and Leech containers, 2-bit vector quantization). Every codec improvement we can identify lands in the same place (entropy coding, $\approx 1.15\times$ only on a redesigned alphabet — exactly 1.000× on ours, whose transition symbols are uniform; coder offset $1.2\times \approx 7\%$; E_8 $1.22\times \approx 9\%$). The *format* column is closed on cost–benefit as well as on physics.

One qualifier, which post-dates most of our measurements and which we flag rather than claim: *search-side* improvements are not format changes and we did not test them. Concurrent work reports that putting the curvature (the diagonal of the Hessian's LDL factorisation, which our encoder already computes for error shaping but never reads) into the Viterbi branch metric, and storing a per-block start state so the trellis can adapt to the residual that error feedback carries in, is worth 1–3 downstream points at two bits — and that the start state alone lifts existing trellis baselines by as much as 3 points. If that transfers to 3.34 bpw it is the cheapest remaining lever in the programme: same payload, same rate, better search. We list it as the first thing a successor should measure.

6 Training does not close the gap

SantanaQAT: scales-only training is the lever, and it is small. With the codes frozen, the only trainable parameters are the 1.3M scale entries. Training them (joint window, 1500 steps of 512-token blocks at batch 1, 0.40 s/step, 9.2 GiB VRAM) moves strict coding from 73.6% to 79.7% [74.1, 84.5] — +15 net items, exact McNemar $p = 0.004$ — and HellaSwag to 87.3% [84.6, 89.8] (Figure 2).

Latent training is worse, on all three axes. Training the continuous masters with STE and periodic Viterbi re-encoding (28 blocks, all bug fixes in place) gives 76.0% [70.2, 81.2] coding against 79.7% for scales, losing 16 items and gaining 7 ($p = 0.093$); on HellaSwag it loses 27 and gains 12 (exact $p = 0.0237$; 26/11, $p = 0.0201$, under the collapse rule); and perplexity moves the wrong way (10.4627 vs 10.2886, against PTQ's 10.5894). 180 of its 187 solved coding items are already solved by the scales arm.

The mechanism. At $K = 3$ only **0.03**% of trellis words flip under 300 steps of latent training. The geometry explains it: a $K = 3$ Voronoi cell has radius ≈ 0.20, while the net AdamW displacement with noisy minibatch gradients is a random walk of $\approx \mathrm{lr}\sqrt{\mathrm{steps}} \approx 0.009$ — about 2% of a wall. We also measured the locality of code changes directly: perturbing weights by 1%, 2%, 5%, 10%, 20% in L1 and re-solving the Viterbi changes 0.0%, 0.0%, 24.5%, 49.8%,

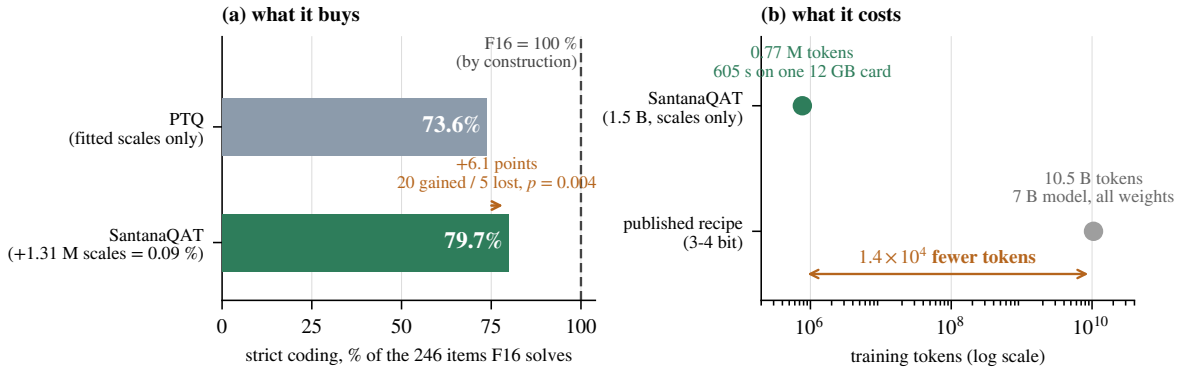


Figure 2: SantanaQAT: what it buys and what it costs. (a) Strict coding retention on the 246 items the F16 reference solves. Block-LDLQ alone reaches 73.6%; training only the 1.31M per-channel scales (0.09% of the parameters, codes frozen) moves it to 79.7% — 20 items gained, 5 lost, exact McNemar $p = 0.004$. F16 is 100% by construction on this set. (b) The same run cost 0.77M tokens and 605 s on one 12 GB card, against the 10.5B tokens of the published low-bit QAT recipe we compare to ($1.4 \times 10^4\times$ fewer; that recipe is a 7B all-weights run, so the ratio is a budget comparison, not a like-for-like quality result). It saturates there: latent codes (block-wise, all fixes), three objectives and a corpus-controlled on-policy round all fail to beat it ($p \geq 0.19$).

99.2% of symbols, and the transition is bimodal per tensor (each tensor jumps from ∼0% to ∼98% between adjacent noise levels). A global Viterbi optimum is either untouched or replaced wholesale; there is no sparse-nudge regime, which kills guided symbol-flip training and explains why the scales-only solution is a fixed point.

The objective axis, measured on a matched schedule. We trained three variants on the same pack and the same schedule (1500 steps of 512-token blocks, lr 5×10^{-5}, teacher top-32) differing only in objective and token selection: CE+10·KL, the same with a hard-token fraction of 0.21, and a Jaccard loss. All three improved their own objective — gate loss 2.9762 → 2.9333, → 2.9698, and 0.1508 → 0.1464 on the Jaccard scale — and all three landed *below* the deployed artifact on coding (76.8%, 77.2%, 78.0% against 79.7%) and on perplexity (10.49, 10.50, 10.61 against 10.29). Paired exact McNemar against the incumbent: net −7 ($p = 0.19$), −6 ($p = 0.29$), −4 ($p = 0.50$). We state the confound rather than hide it: the deployed artifact was trained on a 27.5M-token pool (53,702 blocks of 512) while these three arms used a 5.04M-token pool (9,838 blocks), so at 0.77M presented tokens the incumbent saw 2.8% of its corpus and the variants saw 15% — diversity and repetition differ as well as composition. This is therefore not a corpus-controlled comparison, and at 1,500 steps it is not a budget experiment either. A second confound surfaced only when the artifacts were inspected: these three arms were built with the trellis (K2E) token embedding while the deployed artifact carries the f16 embedding — 348 MB of a 1198 MB file — so the gap is not training alone. We rebuilt the strongest arm with the f16 embedding, which makes it byte-size identical to the incumbent and differs from it only in the trained scales, to split the two effects. **The split: 187/246 (76.0%) with the trellis embedding against 190/246 (77.2%) with the F16 one, same scales** — so the embedding costs 1.2 of the 3.7 points and only 2.5 are training. What the comparison does establish is that within one schedule, changing the loss or mining hard tokens does not move the deployment metric, while the objective it optimises keeps improving.

The on-policy round, which is corpus-controlled. The round above shares one weakness: the deployed artifact saw a 27.5M-token pool and the variants a 5.04M-token one. We therefore ran a volume-matched round in which corpus and schedule are held fixed and only the *source of the tokens* changes: 1500 blocks of 512 tokens generated by the model itself (92% student

Table 3: Training budget for low-bit QAT. Our column is measured on one RTX 3060; the others are as published or as their recipes compute on that card. The comparison is a *budget* ratio, not a like-for-like quality result: the other rows train all weights on larger models and are scored on averaged metrics, whereas ours is a 1.5B model scored item-wise.

method	what is trained	tokens	compute / wall clock
K2 scales-only (ours)	1.31M scales (0.09%)	**0.77M**	**1×3060, 605 s**
K2 block-wise latent (ours)	+ block masters	34.4M presentations	2 h A100 (≈ $4.5)
EfficientQAT	all weights	≈25M	7B w2 in 4.8 h
GSQ	grid logits	≈16M	A100 layer-wise
ParetoQ	all weights	**10.5B**	40k steps × 128×2048, 16 GPUs
NVIDIA Bolt QAD	all weights	26B	several teachers

text, 8% identical to a corpus block), 1400 blocks presented, the same objective family. Two arms: CE+10·KL and a dynamic-KL schedule. Against a baseline trained on the same volume of corpus blocks, the on-policy arms land at 76.0% and 76.0% of the 246 binding coding items versus 77.2% for the baseline and 79.7% for the deployed artifact: paired exact McNemar gives -3 items for each arm against the baseline ($p = 0.45$ and 0.55) and -9 against the incumbent ($p = 0.078$ for both). On-policy data and a dynamic-KL objective are therefore *null* against their own baseline. Of the four training levers tried in this section, only the first paid: scales-only QAT moved coding by +6.1 points (73.6% → 79.7%, $p = 0.004$), while latent re-encoding, loss/mining variants and on-policy data all land in 76.0–78.0% — below the artifact they were trying to improve. Perplexity agrees (10.5582 and 10.5674 against 10.2886).

A confound we found only after these runs, stated rather than buried: every arm in this round (and in the round above) is a 849 MB build carrying the trellis (K2E) token embedding, while the deployed artifact is a 1198 MB build with the f16 embedding. The two differ only in the embedding — 348 MB of the file — so part of the 1.7–3.7 point gap is the embedding's precision, not the training. Rebuilding the on-policy arm with the f16 embedding yields a file of exactly the incumbent's size that differs from it only in the trained scales, which splits the two effects and is reported with the artifacts.

What the training costs, against the literature. This is the part of the result that does not depend on our pessimism about the bar: the QAT that delivers +6.1 points is *extraordinarily cheap*, and the reason is structural. Because the codes are frozen, the only trainable parameters are the 1.31M per-channel scale entries — 0.09% of the deployed model. There are no weight masters, no weight gradients and no weight optimizer state, which is why a 1500-step arm runs in 605 s at 9.23 GiB on a 12 GB consumer card, at 0.40 s/step. The token budget is 768k (1500 steps × 512 tokens).

Relative to ParetoQ's published 3–4-bit recipe we use 1.4×10^4 *fewer tokens*; relative to NVIDIA's QAD production run, $\sim 3 \times 10^4$ fewer. On this hardware their recipe would need an estimated ∼5800 GPU-hours against our ten minutes — an extrapolation from 6ND at this card's measured throughput, but of the right order. The three block-wise and end-to-end variants we tried in Sections 6 cost 34–45× more tokens and did not improve the number, so within this format the efficiency is not a compromise: the cheap variant is also the best one.

We are careful about what this does and does not say. It does *not* claim our 79.7% equals their near-BF16 averages; the models, metrics and scales differ, and their larger budgets are spent on 7B–74B models where a +6-point item-level gain is worth a different amount. What it does establish is that *in the compensation regime* — which is what ≥ 3-bit QAT is, per ParetoQ's own finding that weights move only 10–20% in L1 — a per-channel scale fit against a frozen trellis reaches the same fixed point in four orders of magnitude fewer tokens. The practical consequence is that an artifact can be rebuilt end to end (encode 19 min measured on this box, SantanaQAT 10 min, assemble 4 s, verify 60 s ≈ 30 min) on hardware a practitioner owns,

and a scales-only iteration after the first pack costs under three minutes. The encode is 3.3× slower than the cost model in Sec. 5 predicts (4.4M weights/s would be 6 min), which is kernel headroom rather than an algorithmic limit; on a multi-GPU box it is sharded across devices. The assembly step was 91 s until its metadata copy was rewritten (arrays were serialised element by element, the tokenizer vocabulary alone costing 151,936 recursive calls); the optimised path produces byte-identical output, which we check by md5.

End-to-end and joint windows do not help. A full-depth trainer (all 28 blocks in one graph, 394 scale tensors, KL to an F16 teacher computed on the fly) is *worse* at every window size we tried: starting from PTQ at 12.9166 (ratio 1.0323 to the 12.5129 teacher), 150 steps gives 12.9486 for a single layer, 12.9871 for four and 13.2453 for all 28 — monotone in window width, and the narrow window also reached the lowest *training* KL (0.0600 vs 0.0878), so this is not overfitting: wide joint optimisation optimises worse. The gradient-honest reading is that the scale vector is already at the optimum for that objective.

Saturation, stated once. Within 3.34 bpw, perplexity tracks the task metric perfectly across arms (PTQ 10.5894/73.6%; latent 10.4627/76.0%; scales 10.2886/79.7%). But scales QAT reaches a perplexity *better than F16* (10.2886 vs 10.3099) while coding sits at 79.7%. The extra perplexity is calibration overfit, not capability; the repairable distributional damage is exhausted in the first pass.

The corpus matrix makes the decoupling explicit. Three QAT arms trained on the same pack differing only in data mixture read: wiki-heavy 10.1760 perplexity with 78.0% coding; general mix 10.2886 with 79.7%; doubt-selected 10.3310 with 78.0%. **The arm with the best perplexity — better than the F16 reference itself — is** 1.7 **points worse on coding than an arm with worse perplexity**. A PPL- or KL-based objective cannot select the artifact you want, which is also why quantization-aware distillation cannot help: its objective is to minimise KL to the teacher, and the remaining 20 points are thin-margin decision loss, not distributional error.

The external comparison. A strong external quantizer (GSQ, Gumbel-softmax grid learning with per-tensor allocation) at a matched uniform rate of 3.277 bpw reaches 32.9% strict coding and PPL 13.8651 (+34.5% vs F16) on our bench — 47 points below our trellis at 3.34. Their published edge comes from budget-constrained *allocation*, which is redistributive and therefore capped by our damage budget. This is consistent with the literature: at 2.06 bpw with 26B distillation tokens, a production 74B-A9B MoE is reported at ∼94% median and 77.5% minimum versus its own BF16, described by its authors as "lossy by design"; our 3.34 bpw arm sits in the same band with five orders of magnitude less training budget.

7 The residue is additive, thin-margin and unlocalisable

Substitution map. Using one model with every linear switchable between F16 and the verified trellis reconstruction, over 2048 teacher-forced tokens of wikitext, the whole-model KL to F16 is 0.0375 with 93.36% top-1 agreement and dPPL = 1.022. The eight "only-X" arms give 0.00025, 0.00039, 0.00056, 0.00108 (q/k/v/o), 0.01074, 0.01332, 0.01102 (gate/up/down) and 0.00034 (head, $K = 6$). Their **sum is** 0.03769**, i.e.** 100.4% **of the whole**: the damage is additive, with no interaction to exploit and no dominant culprit. The best single-type recovery is 33.7% (all-but-up_proj, a quarter of the parameters; all-but-gate 32.5%, all-but-down 30.5%). Damage density (KL share over parameter share) is 0.61 for attention, 1.25 for the FFN and 0.06 for the head.

On *code* tokens the same construction measures KL 0.0280 with 74.89% top-1 and dPPL = 1.016: code flips about four times more often than prose at the same perturbation. (We note a

provenance defect: the run that produced the code figure was overwritten by the wikitext run, so its per-arm JSON is not retained; the wikitext arm above is the one on disk.)

Component shares, and their corpus dependence. Restoring one component at a time inside the 1.5B student gives, on code prompts, FFN 96.6% of the KL, gate/up 69.5%, down 23.4%, attention −12.7% (i.e. noise) and head −0.7%; on HellaSwag prompts the same model gives FFN 95.5%, gate/up 59.6%, down 34.6%, attention +2.5%, head −0.9%. The FFN dominance is robust but **the gate/up-versus-down split moves by 11 points with the corpus**, which further caps allocation: a per-tensor budget tuned on one distribution is mis-allocated on another. Two branches still die cleanly: head-heavy allocation (the head is $\leq 2.8\%$ of the KL in every measurement) and attention-heavy allocation (−12.7% to +2.5%, never material). The bits belong in gate/up — but the arithmetic in Section 3 says even perfect placement cannot buy the 17 points.

The one allocation that works, and what it costs. Table 5 contains one arm built from the attribution rather than from a uniform rate step: gate/up raised by one bit, funded by one bit each from down, attention and head (3.70 body bpw, 1228 MB, 6.38 bpw on disk). It reaches 86.6% [81.7, 90.6] coding — +17 net items over the 3.34 QAT arm, exact McNemar $p = 0.0076$. For scale, the uniform arm at 4.06 bpw buys +26 items for +0.72 bpw; this one buys +17 for +0.36 bpw, an exchange rate of roughly 19 versus 15 points per bit. The arm that spends its extra bits on the *down* projection instead (3.73 bpw, +0.39) gets +12 items at $p = 0.088$ — not established. Spending where the damage is concentrated is therefore about a third more efficient per bit than spreading, and it is the only allocation arm with a significant result. More striking than the ordering is the *decline*: 19 points per bit at 3.70, 15 at 4.06, 11 at 5.00, 7 at 6.00 — the first bits are cheap and the last ones are very expensive.

That is exactly what the functional attribution predicts: gate/up carries 69.5% of the KL on 58.8% of the body weights (49.9% of all parameters), down 23.4% on 29.4% of body weights, attention ≈ 0 on 10.4%, and the head 2.8% on 15.1% of the file on 15%, so the marginal bit is worth most where the error is multiplied through the non-linearity.

The caveat is the other axis, and we flag it rather than bury it: **this arm's HellaSwag was never measured at a resolvable sample size**. The single reading is 0.460 at $n = 100$ against the F16 reference's 0.580 at the same n — if real, a large loss, and the likely cause is the head's lost bit, since we measured that a 4-bit head costs 3.7 HellaSwag points at $n = 1200$ (Section 8). A variant that keeps the head at six bits and funds the increase from attention alone was never built. Pending that measurement we treat this arm as evidence about *where* the bits belong, not as a recommendation: it reallocates the budget rather than reducing error, so it still cannot supply the 16.8 points the bar needs, and its price on the second axis is unquantified. Effective-weight error is 0.144 (gate/up), 0.132 (down) and 0.062 (attention). gate/up and down carry almost the same error yet their KL shares are 69.5% vs 23.4%: the 4× difference is functional (gate/up errors pass through the non-linearity and multiply into up_proj; down's average out across the residual).

No layer hotspot. Hidden-state error grows smoothly with depth (absolute error 1.07 → 3.74 → 15.0); the apparent jump at layer 22 is a norm artefact (the state norm drops 28.3 → 12.5), so layer-targeted allocation has nothing to target.

The failures are thin-margin flips. On code the whole-model KL is 0.028 nats with only 74.9% top-1 agreement, while wikitext shows a *larger* KL (0.0375) with far better agreement (93.4%). Agreement is therefore not a function of KL magnitude but of margin structure: code has thin top-2 margins, so the same perturbation flips about four times as many argmax decisions. That is precisely why a multiple-choice axis degrades less than free-form coding for

Table 4: What a bit per weight is worth in bytes. Body weights exclude the embedding and the output head, which are stored separately (and, after K2E, at their own rate).

model	body weights	1 bpw	+1.66 bpw (3.34→5.00)	+2.66 bpw (3.34→6.00)
Qwen2.5-1.5B	1.31B	164 MB	272 MB	436 MB
Qwen2.5-7B	7.07B	884 MB	1.47 GB	2.35 GB
Qwen3.6-35B-A3B	33.6B	4.20 GB	6.97 GB	11.2 GB

the same model, and why no divergence monitor can find a "spot" to fix. About a quarter of token decisions have a top-2 margin smaller than the perturbation. A divergence monitor is therefore mostly wrong: in a 60-item trace, 42 items produced *different* output but only 12 were true failures (reference passes, student fails) — 71% of divergences are harmless.

8 What does move the number

Magnitudes, so the rates are readable. One bit per weight is 0.125 bytes per weight, so the same Δbpw costs very different things at different scales (Table 4). The entire ladder that takes coding from 79.7% to 97.6% is +1.66 body bpw: +272 MB at the 1.5B, +1.47 GB at a 7B, +6.97 GB at the 35B target. Two consequences are worth stating plainly. First, at 1.5B the 348 MB saved by the trellis embedding is *more* than that whole +1.66 bpw increase — at small scale *where* the bytes go matters more than the body rate — whereas at 35B the embedding is 0.6% of parameters and the same trick saves ~ 0.4 GB, so the leverage vanishes. Second, an exchange rate quoted in points per bit must carry its scale: one bit per weight costs 164 MB at 1.5B and 4.2 GB at the 35B target — about 25× more — so a points-per-bit claim is not portable across scales.

Effect sizes against the resolution. On the 246-item coding axis one item is 0.41 points, so the intervals in Table 5 are ±4–5 points on the middle rungs. This is why we quote paired tests rather than eyeballing the ladder: +17 items (gate/up) and +26 items (uniform $K \geq 4$) are each beyond the interval width and both are significant ($p = 0.0076$ and $p < 10^{-3}$), whereas the +12 items bought by protecting the down projection are *not* ($p = 0.088$) even though they look like a gain in the table. On the HellaSwag axis one item is 0.083 points at $n = 1200$ and the minimum detectable effect at that n is 1.96 points — exactly the size of the bar's margin — which is why we refuse to call any HellaSwag result established and why the 6.00 bpw arm is reported as clearing the bar only on its point estimates.

Scale. At a fixed rate, retention rises +5.1 points from 1.5B to 3B (84.8% at 3.46 bpw vs 79.7% at 3.34). This is a shift of the whole curve, orthogonal to every column above, and it is the only lever with a measured positive slope. Extrapolating two more doublings gives ∼90–93% at 35B — closer, still short, and explicitly an extrapolation rather than a measurement.

Base-model specialisation. At the same rate the Coder variant of the same 1.5B base retains 85.6% of its F16-solved coding items against the plain base's 79.7% — another +6 points, comparable to a doubling of parameters. It is not free: the Coder is much stronger at coding to begin with (70.5% vs 58.0% F16 accuracy) and correspondingly weaker elsewhere (ARC 79.0 vs 87.0, HellaSwag 44.0 vs 58.0), so this lever trades general capability for the axis being measured rather than lifting the curve.

Rate, and the honest cost. 5.00 bpw clears the coding bar (97.6%) but *not* the HellaSwag bar (93.6%, interval excluding 96.5%): under a consistent normalisation the "bar met at 5.00"

Table 5: The measured ladder (Qwen2.5-1.5B unless stated). Strict retention on the items F16 solves, Clopper–Pearson 95% intervals, block rate and on-disk rate. The block rate is recomputed from each artifact's payload over its 196 block linears, not copied from the run that produced it: two labels in our own earlier tables were wrong and are corrected here — the gate/up arm's "3.52" was its allocation *target* (the artifact is 3.70), and "5.15" for $K \geq 5$ counted the 6-bit head (the block rate is exactly 5.00). The bar is 96.5% on every cell; † marks the smallest artifact whose *both* point estimates clear it (the K=6 row also clears it, at a higher rate). Only the K=6 arms have an n=2000 HellaSwag run; the others use n=1200. The last column pair is the counterpart to the two that fail: F16 on the same items reads ARC 87.0 and probes 83.7, so the 3.34 bpw arm keeps *all* of its ARC capability and scores six points *higher* on the probe set — the damage is a thin-margin effect, not a general capability loss. (ARC $n = 200$, probes $n = 98$; both are secondary axes and neither is part of the bar.)

arm	bpw	file	coding	HS	ARC/probes	disk
PTQ	3.34	1198 MB	73.6%	—	87.0 / 85.7	6.22
scales QAT	3.34	1198 MB	79.7% [74.1, 84.5]	87.3% [84.6, 89.8]	87.0 / 88.8	6.22
gate/up +1 bit	3.70	1228 MB	86.6% [81.7, 90.6]	—	86.0 / 87.8	6.38
down $\geq K4$	3.73	1262 MB	84.6% [79.4, 88.8]	—	85.5 / 87.8	6.56
$K \geq 4$	4.06	1316 MB	90.2% [85.8, 93.6]	—	87.5 / 84.7	6.83
$K \geq 5$	5.00	1470 MB	**97.6%** [94.8, 99.1]	93.6% [91.5, 95.3]	85.5 / 85.7	7.64
$K = 6$	6.00	1634 MB	**98.4%** [95.9, 99.6]	**97.0%** [95.8, 97.9]	87.0 / 84.7	8.49
$K = 6$+K2E†	6.00	1285 MB	97.2% [94.2, 98.8]	96.7% [95.1, 97.9]	—	6.68
3B, PTQ	3.46	1950 MB	84.8% (252/297)	not measured	—	5.05

claim is false. Only 6.00 bpw clears both point estimates, and it is an 8.49 bpw file — the size class where Q6/Q8 near-losslessness is expected. The cheapest artifact that clears both point estimates is $K = 6$ body with a 6-bit head and a trellis embedding, at 1285 MB (6.68 bpw on disk) — which is *smaller* than the 5.00 bpw artifact's 1470 MB while being better on both axes, because the trellis embedding removes 348 MB. We state the obvious caveat: 6.7 bpw is still the bits-per-weight band in which Q6-class quantization is expected to be transparent, so the achievement is the size and the single artifact, not a low rate. A 4-bit head version at 1227 MB fails HellaSwag at 93.3%, which is the measured proof that HellaSwag is head-limited even though the head carries only 2.8% of the KL.

Free size, not free quality. Emitting the trellis-coded embedding (K2E) instead of F16 shrinks the 3.34 artifact by 348,233,952 bytes (466.75 → 118.51 MB of payload, i.e. 1197.9 → 849.6 MB, −29%) for +0.055% perplexity (10.5895 → 10.5953 in that session) — but the coding axis pays 1.2 points for it (187 vs 190 of 246 against a scales-identical F16-embedding build), so the size is not free. The embedding was 39% of the file; validation was 21/21 structural checks with all 732 other tensors byte-identical across two runs, a CPU decode agreement of cos ≥ 0.9977 and relative RMS $\leq 6.7\%$ against the F16 table, and the 0.5B precedent repeated exactly (14.9310 vs 14.9306). It rescues small-model file sizes; at 35B the embedding is 1.5% of parameters, so it is a demo artifact rather than a product lever.

Pipeline costs. Encoding runs at 1.33M weights/s end-to-end (19.4 min for 1.5B; the tile search alone sustains 2.0M/s, the remainder is Hessian, proxies and I/O — the only real bottleneck); scales QAT is 0.40 s/step joint at 9.23 GiB (1500 steps = 605 s); materialising scales is 0.6 s; a GGUF rewrite 4 s (from 91 s before the batched rewrite); a 20-chunk perplexity 60 s. Decode reaches 327.92 ± 0.68 t/s on the 0.5B seat (92% of our 357 t/s gate target and 69% of a well-tuned IQ3_KS build at a lower rate), with CUDA graphs worth 23%. On the model this paper is about — 1.5B at 3.34 bpw, 722 MB of weights per token — the same kernels deliver 175.5 ± 0.4 **t/s**, i.e. $\approx$ 127 GB/s and 73% of the 175 GB/s isolated GEMV ceiling this card reaches. In the interleaved 5-pair A/B (order alternating, same model re-quantized with the

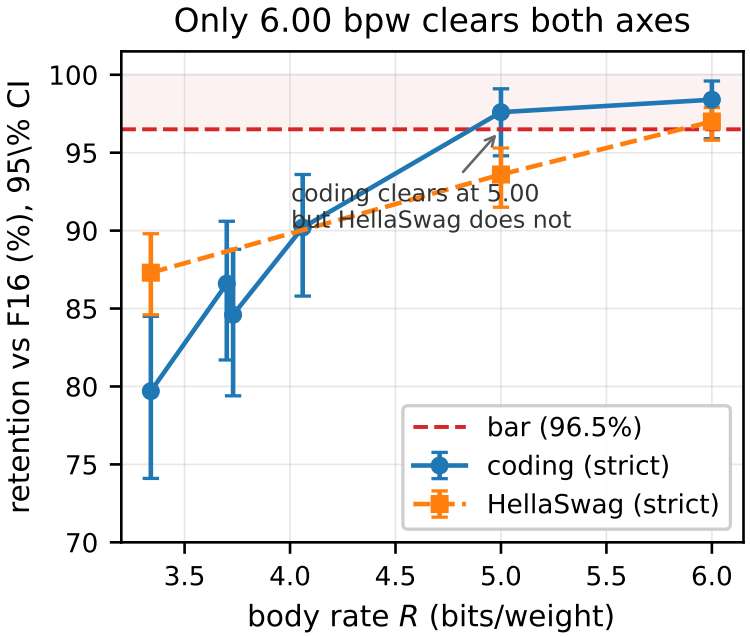


Figure 3: The measured ladder, strict retention with Clopper–Pearson 95% intervals. Coding crosses the bar at 5.00 bpw; HellaSwag does not (93.6%, interval excluding 96.5%). Only 6.00 bpw clears both point estimates — and these are body rates: the files are 6.22–8.49 bpw on disk because of the F16 embedding. The 3.73 point is an allocation arm (down-projection protection) and shows the non-monotonicity that makes adjacent rungs indistinguishable.

fork's own types) the shipped kernels are 2.55x behind `IQ4_KS` and 2.63x behind `IQ3_KS` on prefill and 1.06x / 1.09x behind on decode, 5/5 pairs in both directions — the honest frame for the kernel limits.

Two operational facts we record because they are easy to repeat and each cost us time. First, the fast GEMV path was gated behind an environment variable that *defaulted to off* in early builds (now default-on; `K2_T16_SLOW=1` forces the reference path): every production run that did not set it decoded 4.8× slower (36.7 t/s on the same artifact, with perplexity bit-identical to four decimals), so a measured speedup that exists is not the same thing as a speedup in use. Second, the sampler aborts under concurrent multi-slot decoding in one memory-contended window; three reproduction attempts on the current build are clean and `compute-sanitizer` reports no hazards, so we do not claim it as a live defect. It is why on-policy data collection ran at batch one.

9 Related work

Trellis and lattice quantization. Trellis-coded quantization reaches within 0.2–0.5 dB of the rate–distortion bound with a large alphabet, coset structure and entropy coding; our fixed-rate 16-level pseudorandom codebook is 2.5–2.8 dB out, which is what the 1.23–1.32× offset measures. Lattice quantization has a hard floor at $G(\Lambda)2\pi e \geq 1.221\times$ set by the sphere bound; E_8 attains it. QTIP introduced the trellis-plus-incoherence formulation we build on; EXL3 supplies the streamlined encoder, Hessian-based error shaping and self-calibrated allocation we reuse.

Low-bit LLM quantization. GPTQ, AWQ, AQLM, QuIP# and their descendants establish ∼2–4 bpw as practical with averaged-metric losses of a few percent; ParetoQ shows that at ≥ 3 bits QAT is *compensation* (weights move 10–20% in L1 within adjacent grid levels) and needs ∼10B tokens to saturate, while below 2 bits it is reconstruction. Our measurement is consistent:

our scales-only QAT is exactly compensation, and it saturates after ∼0.8M tokens because the codes cannot move (Section 6).

Near-lossless claims at 2–3 bits. The strongest published instance we know is a 74B-A9B MoE at 2.06 bpw with 26B distillation tokens, mixed component precision and multiple teachers, reported at ∼94% median and 77.5% minimum across benchmarks relative to its own BF16 and described as lossy by design. A separate report claims BF16 parity on a 35B-A3B MoE at 2.03 bits by fine-tuning experts with a lattice container on 8 GPUs. Both are compatible with our findings: averaged metrics can sit near 94% while the worst benchmark sits far lower, and a lattice container is worth 1.22× — real, and 9% of a file.

The 2026 trellis and lattice wave. Concurrent work sharpens both halves of our story. On the format side, lattice containers have become practical at two bits: a Leech-lattice (Λ_{24}) vector quantizer reports state-of-the-art 2-bit quality against QuIP#, QTIP and PVQ, and an E_8 lattice used as an *implicit* codebook — closed-form projection at $O(v)$ per group, a 2^{16}-point core plus a sparse extension that preserves out-of-core points exactly for $< 0.1\%$ overhead — claims parity with BF16 on a 35B-A3B at two bits. Both are consistent with our measurement that E_8 is essentially the lattice optimum and that a D_8-class coder is 1.22× worse in error; they also confirm that *serving* cost, not quality, is the binding constraint for very high-dimensional lattices (a fully unfolded Leech decoder reads 2.4× the bytes of a trellis kernel). On the search side, rotation-free trellis codecs that weight the branch metric by curvature report 1–3 points over the same baselines at two bits. Training-side work continues in parallel — stabilised STE surrogates, Hessian-annealed ternary schedules, progressive bit-widths, decoupled 1-bit-plus-residual branches, and on-policy distillation at student-visited prefixes (which improves a 3-bit student by 2.9 points but a 2-bit student by only 0.4 — the same saturation we measure). None of this changes our arithmetic: the bar at 3.3 bpw remains below the rate–distortion bound.

Quantization-aware distillation. QAD and on-policy variants minimise divergence to a teacher with on-policy rollouts. Our saturation argument bounds what they can buy here: once the student's perplexity is at the teacher's, the residual is thin-margin decision noise rather than distributional error, so a KL objective has almost nothing left to remove. We tested the idea on its predecessor grid: forward-KL on-policy distillation over a fixed pool lost 0.76% perplexity and regenerated-rollout reverse-KL distillation lost 0.57% against the 14.7148 baseline, i.e. both arms moved the wrong way, and we did not carry the objective into the trellis format. Concurrent work reports the opposite sign but the same scale of effect, and the same rate dependence: +2.9 points for a 3-bit student, +0.4 for a 2-bit one. Both readings are consistent with the saturation measured in Section 6: once the student's perplexity is at the teacher's, a KL objective has little left to remove.

10 Limitations and threats to validity

Scope. One model family (Qwen2.5), one size ladder, one GPU, one format. Two scale points are measured (1.5B, 3B); the 7B rung is *not measurable on this card*, and for an instructive reason: the 3.34 bpw pack for a 7B is only ∼3.2 GB and runs comfortably, but the *reference* F16 GGUF is 14.2 GiB against 12 GB of VRAM, so the F16 arm — without which no strict retention exists — would need partial offload at an estimated 4–6 hours per evaluation. The obstacle to scaling the *measurement* is the reference, not the artifact. The lattice and VQ identifications rest on two to four tensors of one model, and the VQ reference trains and evaluates on the same samples (optimistic); the entropy measurement covers four tensors. The 35B scale point is an extrapolation from two measured doublings, not a measurement.

Statistical resolution. Coding has 246 binding items, so one item is 0.41 points and the 5.00 interval $[94.8, 99.1]$ contains the 96.5 threshold: that pass is a point estimate, not an established result (roughly 370 items would be needed to exclude failure at the observed rate). HellaSwag at $n = 1200$ has a minimum detectable effect of 1.96 points — exactly the bar — so it cannot adjudicate 96.5% either; we say so rather than quoting the pass.

Harness defects we found and fixed (and one we softened). (i) Retention normalisation was mixed across axes, fabricating a pass (Sec. 2); (ii) an in-loop evaluation in train-mode with gradient checkpointing reported 3% better than truth (12.12 vs 12.92 on the same weights), so in-loop numbers are not used; (iii) a held-out set was drawn from the fit corpus, producing a spectacular fake gain; (iv) a reference was double-scaled (the dequantised weight already contains the scales), which looked like a 28× coder bug; (v) a wiki-only calibration produced *better* perplexity with 28% coding retention, which is why every run now names its corpus; (vi) HellaSwag is scored on a first-token letter probe rather than a length-normalised continuation, so its absolute value is not comparable to the literature (we checked the obvious bias: all four letters were in the top-8 for every item, so no item was scored on a truncated candidate set); (vii) the coding axis uses pass@2-with-feedback, so "F16 solves 58%" is not comparable to published 3-shot pass@1 numbers; (viii) three out-of-memory failures blamed on the trainer were stale inference servers holding 1.5–2 GB; and (ix) the GSM8K axis was *mis-scored*, which we found only by retaining generations. Neither arm emits the `<|im_end|>` stop token on the 4-shot prompt, so both generate to the 320-token cap and degenerate, and the harness took the *last* `####` marker — i.e. the number from the degenerate tail. F16 drifts into unrelated text while the quantized arm loops on its own answer (17.5 markers per answer against 3.0), which is why the reference model appeared 23.5 points *worse* than its quantized counterparts, a direction no precision change can produce. Scored on the first complete answer the two arms read 100/200 (F16) and 91/200 (PTQ), i.e. 91.0% retention in the expected direction. The harness now scores the first marker, stores every generation and records which extraction rule fired; the corrected numbers are used in Sec. 2.

Claims withdrawn during the campaign. For transparency: an earlier version of this work claimed the bar was met at 5.00 bpw (it mixed strict coding with loose HellaSwag); a "student beats the teacher by 3%" reading was a harness artefact; a "K=6 is cleaner than K=5" claim rested on a subset artefact (on the neutral item set both arms solve exactly 250/424); a "42 minutes per QAT run" figure was 2× too high; and a "quantized arms score 2–3× F16 on GSM8K" reading was a scoring artifact: the harness took the last `####` marker from a degenerate tail, and on the first complete answer the arms read 0.500 (F16) against 0.455 (PTQ). The append-only log records each correction rather than rewriting the earlier text.

11 Conclusion

For a ∼3.3 bpw trellis codec on a 1.5B model, the gap to near-lossless is not a defect of the implementation, the transform, the allocation or the training schedule. It is the rate. The coder sits 1.23–1.32× above the Shannon bound; the source is white, so no transform or side-channel helps; the codec is already D_8, and E_8 — the best lattice possible — is worth 1.22×, i.e. 9% of a file; entropy coding is worth exactly nothing; and training saturates at +6.1 points because the codes cannot move. The bar at 3.3 bpw lies 3.8× below the rate–distortion bound and is therefore unavailable to any coder on this source. What remains is rate (6.00 bpw clears both axes at 8.49 bpw on disk, 5.00 bpw clears coding only) and scale (+5.1 points per doubling).

The methodological lesson travels further than the format: item-level retention conditional on what the reference solves is the metric that answers the deployment question, it is ∼10 points harsher than a ratio of averages, and the same artifact can pass or fail a stated bar depending

on which of three defensible normalisations is applied. Papers that report a near-lossless claim should state the normalisation, the item counts, intervals, and the rate on disk.

A Reproducibility

The pipeline is six cached stages (F16 GGUF; trellis pack; optional QAT; scale materialisation; GGUF rewrite with optional trellis embedding; perplexity), each keyed by an input hash and timed into a manifest. Artifact identity is verifiable at file level: applying *unchanged* scales and rewriting reproduces the deployed GGUF byte for byte (md5 `584a86cb...`), so a trained artifact can differ from it only in its 394 scale tensors. A GPU preflight names any process holding the device, because stale inference servers caused three OOMs that were initially misattributed to the trainer. Two 1.5B packs are published and they carry different numbers: the PTQ pack (md5 `584a86cb...`) reads 10.5894 perplexity and 73.6% coding, and the SantanaQAT pack (md5 `45d62417...`, the same bytes plus the 394 trained scale tensors) reads 10.2886 and 79.7%. Quote the file you ran. Both, and the per-claim evidence archive are downloadable from `https://huggingface.co/TitanMamo10/Qwen2.5-1.5B-K2-3.34bpw`, so the tables can be audited This deposit is archived at `https://doi.org/10.5281/zenodo.23678902`. without re-running the encoder.

The one thing a uniform-rate reproduction would miss is the per-tensor rate map: it comes from a per-tensor sensitivity measurement (weight-noise injection at two relative Frobenius norms, KL of the last-token logits, $S_t = \text{geomean}(kld/rfn^2)$) feeding an exact-budget allocator over the trellis rates (RCO-style rate-constrained assignment: greedy with exchange repair, tie groups for $q/k/v$ and gate/up; the assignment method is the GSQ/RCO entry in the bibliography), which emits the per-tensor K recipe the encoder consumes. For the deployed file that map is 71 body tensors at K=3, 90 at K=4, 35 at K=5 and a 6-bit head (target 3.34, achieved 3.3394, predicted KLD 0.1553); the sensitivity file, the allocation and the recipe ship with the deposit under `pipeline/`.

B Evidence files

Every number in this paper is regenerable from per-item result files, each storing one record per benchmark item (`ok`, `attempts`, and for coding the generated text). The mapping from claim to file (all under `/mnt/Data/qat_k2/`) is:

C Negative results, with numbers

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claim	evidence file (all under `/mnt/Data/qat_k2/`; `tasks_*.json` store one record per item)
F16 reference, coding (424 items, 246 solved)	f16_15b, code_eval/ids_f16_15b
PTQ / scales QAT / latent QAT	ptq_15b, 15b_general, qatv6_code
ladder (3.70, 3.73, 4.06, 5.00, 6.00)	gateup_code, attr_down3_code, 15b_ptq_k4min, k5_code, k6_code
HellaSwag n=1200 / n=2000	hs1200_{f16,qat334,k5}, hs2000_{f16,k6}
product artifacts (head 6 / head 4, K2E)	k6h6_k2e_{code,hs1200}, k6h4_k2e_{code,hs1200}
3B scale point	qwen3b_{f16,k2}_code, 3b_f16_hs1200
external quantizer (GSQ)	qwen15_gsq3_code, qwen15_gsq3
VQ ladder, E_8, entropy	codec_reference, e8_prototype, symbol_entropy
weight spectra, water-filling, residuals	spectrum_exact (the water-filling rows; `waterfill_bound.json` is not used — its err_kl/gain columns are numerically degenerate)
activation covariance, in and out of sample	act_cov, act_spec, act_oos
damage map, component ablation	damage_map, component_ablation_15b, comp15_hs
speed A/B, 5 interleaved pairs	G5_pairs.log (per-pair llama-bench output; ratios and 5/5 signs)
ladder perplexities (F16, 3.34, 4.06)	G5_ppl_ladder.log (same -c 512 / 20-chunk protocol)
weight error, KL concentration, trace, locality	weight_error, kl_scores_400, trace_monitor, symbol_locality
codec references, trace, null controls	measurement-log.md (sections 6, 15, 21) and the per-run logs quoted there
pack round-trip identity	pack_roundtrip, dryrun.manifest

route	measured outcome
entropy coding / ECSQ	$H = K$ to 3 decimals over 4000 tiles $\Rightarrow$ 1.000×
KLT / learned rotation	water-filling 1.06–1.11× on 80% of parameters
low-rank + sparse residual	residual AM/GM 1.22–1.38, nothing to capture
activation anisotropy	out of sample vs diagonal: 0.90–1.27× (gate/up), 0.55–1.02× (q/k/v)
latent (code) training	−3.7 coding points, HS $p = 0.0237$ against it
end-to-end / joint windows	monotone worse with width (12.95 → 13.25)
sparse symbol flips	0% → 100% bimodal; no nudge regime
head-heavy allocation	head is 2.8% of KL; head-4 costs 3.7 HS points
attention-heavy allocation	attention −12.7% of KL (noise) at 1.5B
down-projection protection	+0.39 bpw for +4.9 points (+12 items) over QAT
corpus/mix changes (5 mixes)	coding moves < 1 point; damage is precision
uniform-rate external quantizer	32.9% vs our 79.7% at matched rate

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